

CARO 2020 Applicability & Evaluation Guide

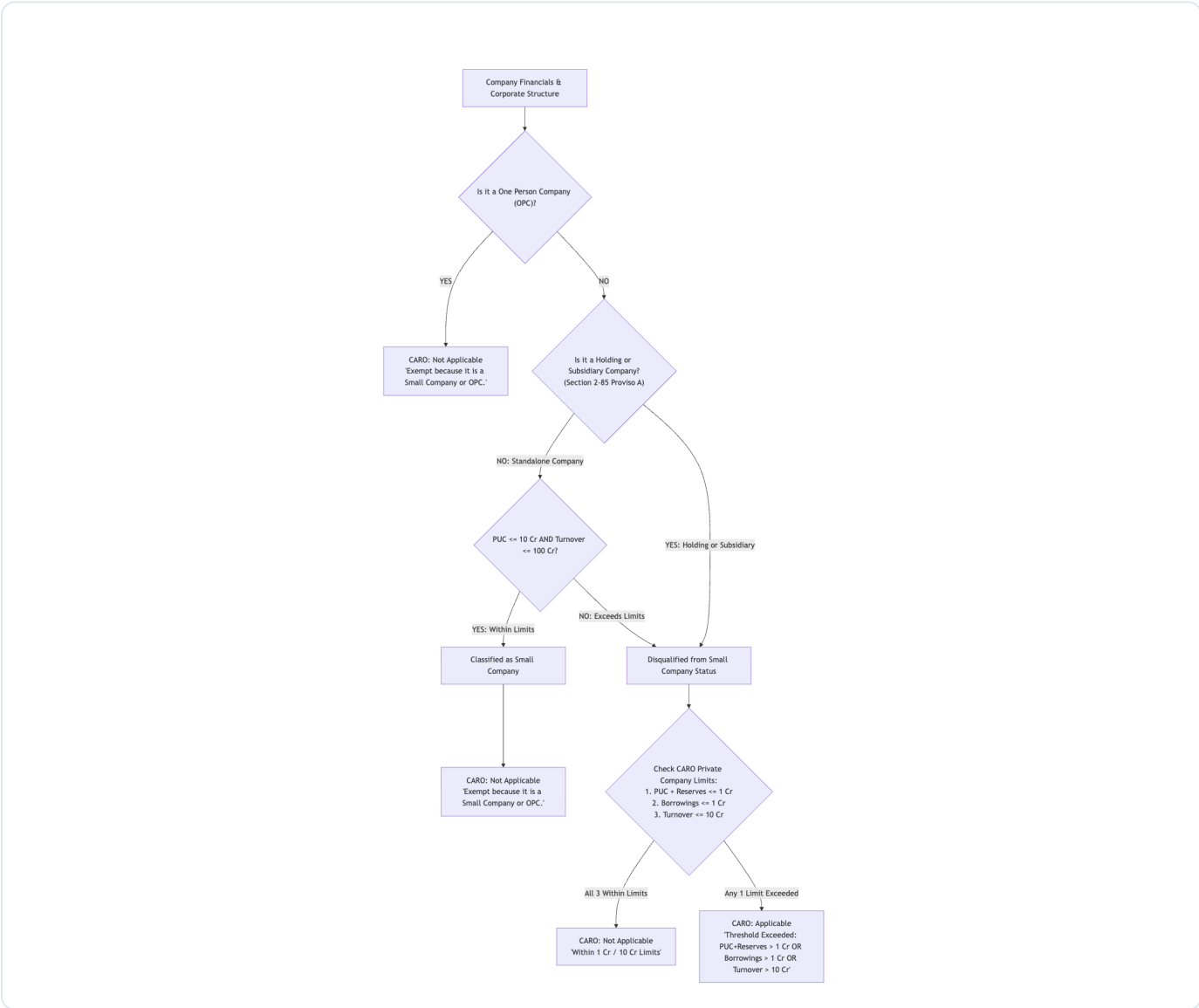
This document is the standalone reference guide for **Companies (Auditor's Report) Order (CARO), 2020** applicability under **Section 143(11)** of the *Companies Act, 2013*, as implemented in the automated AOC-4 compliance engine.

1. Statutory Provisions & Legal Hierarchy

Under **Section 143(11)** read with **Paragraph 1(2) of the Companies (Auditor's Report) Order, 2020**:

- 1. Universal Exemption for Small Companies & OPCs:**
CARO shall **NOT** apply to a **One Person Company (OPC)** and a **Small Company** as defined under Section 2(85) of the Act.
- 2. Holding / Subsidiary Statutory Disqualification:**
Under **Section 2(85) Proviso (A)**, a company that is a **holding company or a subsidiary company** cannot be classified as a Small Company, even if its capital and turnover are below the thresholds.
- 3. Private Company 3-Point Exemption Limits:**
A private company that is **NOT** a Small Company is exempt from CARO **only if ALL THREE** of the following conditions are satisfied:
 - Paid-Up Capital + Reserves & Surplus $\leq$ ₹1 Crore** (as on the Balance Sheet date).
 - Total Borrowings from Banks & Financial Institutions $\leq$ ₹1 Crore** (at any point of time during the financial year).
 - Total Revenue / Turnover (including discontinued operations) $\leq$ ₹10 Crores** (during the financial year as per P&L).

2. CARO Decision Flowchart



3. Decision Matrix Table

#	Company Type	Holding / Sub?	Small Co Criteria (PUC≤10Cr & TO≤100Cr)	Small Co Status	CARO 3-Point Limits (PUC+Res≤1Cr, Borr≤1Cr, TO≤10Cr)	CARO Verdict	System Rationale / Output Reason	Real-World Scenario
1	Private Limited	No	Yes	Yes (Small Co)	Not Checked (Exempt at Gate)	Not Applicable	"Exempt because it is a Small Company or OPC."	Phusaaram Mundhra (PUC ₹0.17 Cr, TO ₹41.15 Cr, Standalone)
2	Private Limited	Yes	Yes	No (Disqualified by law)	All 3 Within Limits	Not Applicable	"PUC+Reserves ≤ 1 Cr AND Borrowings ≤ 1 Cr AND Turnover ≤ 10 Cr."	Small Subsidiary with PUC+Res ₹50L, Borrowings ₹20L, TO ₹3 Cr
3	Private Limited	Yes	Yes	No (Disqualified by law)	Any 1 Exceeded (e.g. Reserves > 1 Cr)	Applicable	"Threshold Exceeded: PUC+Reserves (46.04 Cr) > 1 Cr OR Borrowings > 1 Cr..."	Subsidiary company with high reserves or bank borrowings
4	Private Limited	No	No (PUC>10Cr / TO>100Cr)	No (Large Private Co)	Any 1 Exceeded	Applicable	"Threshold Exceeded: Turnover (120 Cr) > 10 Cr..."	Large Standalone Private Company with Turnover > ₹100 Cr
5	Public / Listed	Any	Any	No	Not Applicable (Public Co)	Applicable	"Not a private company. Type is Public Limited / Listed."	All Public Limited Companies (CARO is mandatory)
6	OPC	Any	Any	OPC	Not Checked (Exempt at Gate)	Not Applicable	"Exempt because it is a Small Company or OPC."	One Person Company (OPC)